

Best's Credit Rating Effective Date

March 13, 2026

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Lincoln Financial Insurance Group

AMB #: 069556

Associated Ultimate Parent: AMB # 058709 - Lincoln National Corporation

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a+
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Strong
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: Lincoln Financial Ins Grp | **AMB #:** 069556

AMB # **Rating Unit Members**
006239 Lincoln Life & Annuity Co NY

AMB # **Rating Unit Members**
006664 Lincoln National Life Ins Co

Rating Rationale

Balance Sheet Strength: **Strong**

- Risk-adjusted capitalization is categorized as very strong as measured by Best's Capital Adequacy Ratio (BCAR); however, the quality of capital is somewhat diminished by high utilization of captive, other affiliate, and external reinsurance for life insurance and annuity reserves with generally well-rated counterparties.
- A high proportion of general account liabilities are interest sensitive; however, the overall asset-liability duration metrics of Lincoln Financial Insurance Group (Lincoln) are well matched, and the group has taken various steps to reduce its balance sheet risks including reinsurance, optimized hedging, and managing the volume and mix of sales by product.
- Due to the higher interest rate environment primarily, Lincoln's fixed-income portfolio is in an unrealized capital loss position; however, management expects these assets to be held-to-maturity and matched against liability and liquidity needs, and the group closely monitors its credit risks through watchlists and regular impairment testing.
- Financial leverage ratio has remained close to Lincoln's 25% target; however, the group has a track record of maintaining good financial flexibility through access to additional liquidity sources, including the debt capital markets, contingent capital, bank credit, Federal Home Loan Bank membership, internal surplus notes and, more recently, funding agreement-backed notes that contribute to some operating leverage.
- Diversified liability profile includes life insurance, annuity, group protection, and retirement plan services lines of business sold in both retail and institutional markets.

Operating Performance: **Strong**

- Sales and premium growth across all segments have been managed to mitigate new business acquisition cost strain on available capital, demonstrating the effectiveness of a well-diversified product portfolio and a strong distribution network.
- The higher interest rate environment along with steady growth in total invested assets, driven by growth in individual annuities and funding agreements, has supported favorable net investment income generation.
- Statutory earnings have been volatile in the last two years primarily due to registered index-linked annuity (RILA) accounting, as a portion of the change in assets supporting RILA reserves is not included in statutory earnings (equity gains that support crediting rates are reported in unrealized capital gains in the capital and surplus account under U.S. statutory accounting); however, net statutory losses have narrowed in the last three years.
- Lincoln has proactively managed its expenses, as most recently evidenced by the consolidation of various onshore captive reinsurers.
- Resumption of share buybacks, in addition to Lincoln National Corporation (LNC) maintaining its existing stock and preferred dividend program, could constrain risk-adjusted capitalization. LNC's share buyback program remains paused as the company continues to maintain a capital buffer and improve the free cash flow conversion profile.

Business Profile: **Favorable**

- Lincoln maintains a favorable business profile through its diversified product offerings, distribution channels, and sources of earnings.
- The group maintains strong market positions across its various core markets, supported by leading distribution capabilities; however, new entrants continue to challenge sales and market share through pricing and product innovation.
- Product risk profile is somewhat elevated due to material exposure to interest-sensitive life insurance and annuity business as well as variable annuities that also expose the organization to equity market volatility and policyholder behavior risks.
- The depth of diversified distribution with strong partners includes a strategic pivot in Life insurance, growing RILAs and funding agreements to enhance spread, growth of Group Protection, and offshore reinsurance for capital management.
- Experienced management team has a history of insurance industry solutions expertise.

Enterprise Risk Management: **Appropriate**

- Lincoln maintains comprehensive risk tolerance statements, and the group carries out sophisticated stress testing.
- The group utilizes some external investment managers to provide expertise through management of a more diversified invested assets portfolio, including private credit to enhance yield, which exposes the organization to incremental credit, outsourcing and operational risk.

- Lincoln uses reinsurance strategically with generally well-rated counterparties to support sales growth and share risk.
- AM Best believes that the ERM assessment of appropriate is indicative of the group's elevated risk profile, which requires an enhanced level of risk management capabilities.
- Lincoln has demonstrated its commitment to enhance its risk management framework and has implemented an expanded hedge program to protect statutory capital during stress scenarios.

Outlook

- The stable outlooks reflect AM Best's expectation that Lincoln will maintain its strong overall balance sheet strength assessment along with its very strong level of risk-adjusted capitalization, supported by strong overall operating performance metrics from a well-diversified mix of business.

Rating Drivers

- Negative rating action could occur if Lincoln Financial Insurance Group reports a sustained deterioration in its overall operating performance metrics.
- Negative rating action could occur if the group experiences a deterioration in its overall balance sheet strength metrics including its risk-adjusted capitalization and financial leverage.
- While unlikely in the near term, positive rating action is possible from a sustained improvement in overall balance sheet strength metrics including risk-adjusted capitalization and financial leverage.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	43.5	23.5	13.6	10.6

Source: Best's Capital Adequacy Ratio Model - L/H, US

Year End - December 31

Key Financial Indicators USD (000)

	2025	2024	2023	2022	2021
Assets:					
General Account	122,305,855	115,087,127	109,533,318	130,878,876	134,628,223
Separate Accounts	213,044,183	196,932,979	182,831,625	164,292,260	198,722,162
Total	335,350,037	312,020,106	292,364,943	295,171,136	333,350,385
Liabilities:					
Net Life Reserves	51,440,340	52,504,334	62,488,975	95,269,706	93,126,235
Net Accident & Health Reserves	1,845,028	1,826,152	6,089,523	6,078,703	5,764,628
Liability for Deposit Contracts	4,449,122	764,288	826,565	1,031,539	1,064,404
Asset Valuation Reserve	2,320,418	2,179,432	1,509,006	1,004,254	1,774,219
Other General Account	54,249,043	50,665,327	30,789,745	19,162,183	24,451,694
Total	327,348,117	304,872,499	284,535,427	286,838,635	324,903,331
Total Capital and Surplus	8,001,920	7,147,607	7,829,515	8,332,501	8,447,054
Net Income	-391,686	-2,460,975	-3,083,309	1,990,665	-560,345
Net Premiums Earned	18,022,012	5,693,016	-16,881,579	23,165,258	18,144,062
Net Investment Income	3,433,096	3,184,130	4,256,345	4,213,904	4,682,124

Source: BestLink® - Best's Financial Suite

Year End - December 31

Key Financial Ratios (%)

	2025	2024	2023	2022	2021	Weighted Average
Operating Return on Revenue	-7.5	-29.2	73.5	5.1	-4.9	-8.0
Operating Return on Capital and Surplus	-26.9	-45.0	-32.8	20.7	-15.7	-19.2
Net Investment Yield	3.1	3.1	3.8	3.4	3.8	3.4
Pre-Tax Investment Total Return	5.8	7.2	2.6	2.4	7.1	5.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2025	2024	2023	2022	2021
General Account Liabilities to Capital and Surplus	14.3	15.1	13.0	14.7	14.9
Higher Risk Assets to Capital and Surplus:					
Mortgages Not in Good Standing	1.5	1.3	0.6	0.2	0.1
All Other Higher Risk Assets	144.3	93.9	71.5	70.5	72.7

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis

	2025	2024	2023	2022	2021
Current Liquidity (%)	73.2	87.6	78.9	84.5	83.0
Net Operating Cash Flow USD (000)	722,040	-1,173,341	-31,900,339	1,056,575	-2,207,198

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

The Lincoln National Life Insurance Company (LNL) (Fort Wayne, IN) and its wholly owned subsidiary, Lincoln Life & Annuity Company of New York (LLANY) (Syracuse, NY), are the key life/annuity insurance subsidiaries of Lincoln National Corporation (LNC) (headquartered in Radnor, PA) and are referred to collectively for ratings purposes as Lincoln Financial Insurance Group. Lincoln Financial is the marketing name for the LNL, LLANY, LNC, and its other entities.

The ratings reflect Lincoln's very strong risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), driven by very strong capitalization of its two primary U.S. registered insurers and growth in the group's adjusted GAAP equity, which includes its onshore captive and offshore affiliate reinsurers. Lincoln has managed the volume and mix of its sales to mitigate the strain on available capital, with a focus on long-term capital generation through growing spread-based earnings through registered indexed-linked annuities, fixed annuities and funding agreement-backed notes, as well as exiting an external flow annuity reinsurance treaty. The group has a track record of maintaining good financial flexibility through access to various liquidity sources, including bank credit facilities, senior debt, subordinated debt, preferred stock, internal surplus notes, Federal Home Loan Bank membership and contingent capital in the form of pre-capitalized trust securities (P-CAPs). In 2025 Lincoln upsized and extended the duration of its P-CAPs, which AM Best views favorably overall because it provides an additional back-stop liquidity source that if drawn would remain in place for a longer duration. The organization also has additional flexibility through a recent equity investment in 2025 by Bain Capital Prairie LLC, a subsidiary of Bain Capital. Lincoln also utilizes a variety of other external investment managers to provide further expertise in the management of a diversified invested asset portfolio, which has supported a trend of strong investment income and operating earnings.

Risk is also mitigated somewhat by the experienced management team, which maintains strong relationships with counterparties. Incremental internal reinsurance on new sales is expected to support further profitable premium growth in competitive markets, through the capital relief and ceding commissions provided by reinsurance; however, this is partially offset by greater dependence on reinsurance. The group has steadily increased its allocations to private credit and real estate investments, which presents concentration and liquidity risks. As part of Lincoln's robust risk-management process, the company regularly performs holistic, multi-scenario stress testing and identifies management actions that can be utilized to protect liquidity and capital. The group's efficient capital management strategies have also been used to manage its financial leverage, which remains close to LNC's target. However, should LNC ever exercise the P-CAPs to generate additional liquidity or capital, then the additional senior notes that would be issued by LNC would increase its financial leverage.

Balance Sheet Strength (Continued...)

AM Best expects that Lincoln's strategic initiatives to improve free cash flow will continue to protect or improve its overall capital adequacy over the near to medium-term. Since Lincoln reported a material GAAP reserve charge of approximately \$2.0 billion in third-quarter 2022, primarily due to unlocking policyholder lapse assumptions in its universal life with secondary guarantee (ULSG) insurance block of business, the group has successfully executed on several strategic initiatives that have reduced product risk and accelerated the company's progress on building and maintaining risk-adjusted capitalization at or above targeted levels. In particular in 2023, Lincoln reinsured approximately \$28 billion of in-force fixed annuity, hybrid long-term care (MoneyGuard), and ULSG reserves to Fortitude Reinsurance Company Ltd (Bermuda). In 2024, Lincoln also unlocked some capital by selling its wealth management business to Osaic, and the group also began reinsuring various in-force and new policies to a new affiliate it established called Lincoln Pinehurst Reinsurance Company (Bermuda) Limited (LPine). Both external and internal reinsurance - in addition to Lincoln's strategic use of its established onshore captive reinsurers and other offshore affiliate reinsurer Lincoln National Reinsurance Company (Barbados) Ltd (LNBAR) - provide capital flexibility for the group, which AM Best views favorably overall but with some caution. Some released capital has also been used to pay down debt easing pressure on LNC's financial leverage ratio, which has come down significantly in recent years and is in line with Lincoln's 25% target.

Lincoln has also implemented various other capital management actions that have included pausing buybacks, consolidating captives, managing the level and mix of sales to optimize capital, and enhancing the group's hedging program to further protect statutory capital.

Leverage ratios, including operating leverage due to growth in funding agreement backed notes, and interest coverage ratios, are within AM Best's tolerance for the current rating levels and the company's projected improvements will be monitored. While financial leverage is in line with target, AM Best expects financial leverage and interest coverage metrics to improve as the group continues to enhance its capital base, and earnings further improve through Lincoln's business management strategies in a higher interest rate environment.

The reinsurance of approximately \$28 billion of permanent life and fixed annuity reserves to a third-party reinsurer in November 2023, represented a significant portion of Lincoln's ULSG business and reduced Lincoln's balance sheet risk, although AM Best also notes the capital benefit was offset partially by a negative ceding commission of \$375 million. The reinsured block consisted of approximately \$9 billion or 40% of Lincoln's total in-force ULSG statutory reserves, nearly \$12 billion or 80% of Lincoln's total in-force MoneyGuard statutory reserves, and nearly \$8 billion or 40% of Lincoln's total in-force fixed annuity statutory reserves. To ensure a consistent experience for policyowners, Lincoln continues to service and administer the reinsured policies. AM Best notes that MoneyGuard, the company's hybrid universal life and long-term care product, continues to be a market leader in sales.

Lincoln has reduced its concentration in certain non-affiliate reinsurers which should serve to bring down Lincoln's reinsurance leverage over time, and which would place less pressure on the group's quality of capital and overall balance sheet strength assessment. Reinsurer counterparty credit risk analysis during Lincoln's financial planning, monitoring and stress testing processes under its ERM framework has gained even more importance, and AM Best will monitor Lincoln's periodic credit reviews of its reinsurers, focusing on, among other things, financial capacity, stability, trends and commitment to the reinsurance business. Statutory earnings have been volatile over the past two years primarily due to RILA accounting, as a portion of the change in assets backing RILAs are excluded from statutory earnings; however, AM Best expects statutory earnings and capitalization to further stabilize and remain above Lincoln's 420% risk-based capital ratio target (Company Action Level) over the next five years for its onshore operations.

Lincoln's balance sheet maintains some exposure to equity market performance, interest rate sensitivity, and reinsurer counterparty credit risk related to its variable annuity block with living benefits and some remaining exposure to interest-sensitive fixed annuities and ULSG. Lincoln has a material variable annuity (VA) block with living benefits, and registered indexed-linked annuities (RILAs). AM Best notes that Lincoln's allocation to VAs with living benefits has trended consistently down and now accounts for less than half of the annuity block of business. AM Best's view on the company's overall balance sheet strength is tempered somewhat due to its use of captive and other affiliate reinsurance for its term life, permanent life, and VA reserves, and risk-adjusted capitalization also has been constrained historically by dividend payments from the insurance companies to LNC to fund shareholder dividends and share buybacks. Historically, capital growth has been offset by sizable dividends to LNC. Dividends to the parent company have been deployed to cover interest expense on debt securities, pay shareholder dividends and to purchase share buybacks. Lincoln's share buyback program remains paused as the company aggressively manages its risk-adjusted capitalization as it has been focused on building capital up to its target capital level (>420% CAL RBC Ratio), which it has maintained since the second quarter of 2024. It is noted that growth in available capital may be limited by LNC's continued shareholder and preferred stock dividend payments along with required debt repayments. Despite continued dividends payments, AM Best expects that Lincoln will manage its risk-adjusted capital to properly support its risk profile and improve its capitalization and financial leverage metrics.

Balance Sheet Strength (Continued...)

Lincoln launched its Funding Agreement Backed Note program in January 2025, and it has issued \$1.9 billion out of a \$5 billion authorization by the board of directors as of mid-March 2026. Operating leverage remains within guidelines, however the asset-liability metrics of the program will continue to be monitored along with refinancing risks. Lincoln consolidated certain financing of XXX and AXXX reserves with a highly-rated counterparty in one of its domestic captives, which is expected to reduce risk charges.

Note that the figures in the data tables in this report include LNL and LLANY, which are both Rating Unit Members of the Lincoln Financial Insurance Group (AM Best # 69556). First Penn-Pacific Life Insurance Company (AM Best # 6904) is currently placed in run-off and no longer writes new business, and therefore has a separate credit rating and credit report.

Management continues to evaluate additional strategies to further strengthen the CAL RBC Ratios of LNL and LLANY respectively, the very strong level of risk-adjusted consolidation of these NAIC-registered U.S. life insurers as measured by BCAR, and an improved level of risk-adjusted capitalization across all legal entities in the group as measured by Best's Global Capital Adequacy Ratio Model based on consolidated GAAP financials; which AM Best will continue to closely monitor.

Year End - December 31

Capital Generation Analysis USD (000)	2025	2024	2023	2022	2021
Beginning Capital and Surplus	7,147,607	7,829,515	8,332,501	8,447,054	8,003,545
Net Operating Gain	-2,034,448	-3,372,069	-2,653,691	1,733,803	-1,276,084
Net Realized Capital Gains (Losses)	1,642,762	911,094	-429,618	256,862	715,739
Net Unrealized Capital Gains (Losses)	869,589	2,695,430	1,715,947	-1,159,369	2,004,589
Net Change in Paid-In Capital and Surplus	962,668	1,301	48,267	972,945	177,456
Stockholder Dividends	-685,000	-1,420,122	-495,000	-645,000	-1,910,000
Other Changes in Capital and Surplus	98,743	502,457	1,311,109	-1,273,794	731,808
Net Change in Capital and Surplus	854,313	-681,908	-502,986	-114,553	443,509
Ending Capital and Surplus	8,001,920	7,147,607	7,829,515	8,332,501	8,447,054
Net Change in Capital and Surplus (%)	12.0	-8.7	-6.0	-1.4	8.0
Net Change in Capital and Surplus (5 yr CAGR)	0.5	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Lincoln manages its general account investment portfolio using a multi-manager platform, including a combination of internal and external investment managers. The group's investment portfolio is primarily comprised of long-term corporate bonds and mortgage loans on real estate with smaller allocations to alternatives, structured securities and other investments to maintain diversification.

Lincoln follows a balanced approach to investing for both current income and prudent risk management, with an emphasis on generating sufficient current income, net of income tax, to meet the group's obligations to customers, as well as other general liabilities. This approach requires the evaluation of risk and expected return of each asset class utilized, while still meeting Lincoln's income objectives. This approach also permits Lincoln to be more effective in its asset-liability management because decisions can be made based upon both the economic and current investment income considerations affecting assets and liabilities. Fundamental to Lincoln's investment policy is diversification across asset classes.

AM Best notes that Lincoln employs a dynamic hedging strategy for the guaranteed benefit features (Guaranteed Minimum Withdrawal Benefits & Guaranteed Minimum Death Benefits) on its variable annuities and currently hedges market (delta), volatility (vega), and interest rate (rho) risk. Lincoln also utilizes detailed economic scenario stress tests and regularly reviews the impact on its investment portfolios from a credit impairment perspective. AM Best believes the enhanced risk management framework implemented by Lincoln to protect statutory capital during stress scenarios is appropriate given the group's elevated risk profile.

Balance Sheet Strength (Continued...)

Year End - December 31

Composition of Cash and Invested Assets	2025	2024	2023	2022	2021
Total Cash and Invested Assets USD (000)	115,913,110	109,512,288	103,449,140	125,278,484	128,780,933
Composition Percentages (%)					
Unaffiliated:					
Cash and Short Term Investments	7.3	3.1	1.6	0.8	1.3
Bonds	57.2	61.5	65.6	74.8	71.6
Stocks	0.5	0.5	0.5	0.5	0.5
Mortgage Loans	12.3	13.3	14.9	12.3	12.2
Other Invested Assets	20.2	17.5	13.7	9.0	8.9
Total Unaffiliated	96.0	95.8	96.4	97.5	94.5
Investments in Affiliates	4.0	4.2	3.6	2.5	5.5
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Composition of Bond Quality (%)	2025	2024	2023	2022	2021
Investment Grades					
Class 1 (Highest Quality)	61.2	61.6	60.0	57.7	58.4
Class 2 (High Quality)	36.7	36.6	38.1	39.9	38.9
Total Investment Grade	97.9	98.2	98.1	97.6	97.3
Non-Investment Grades					
Class 3 (Medium Quality)	1.2	1.0	1.3	1.9	2.2
Class 4 (Low Quality)	0.7	0.6	0.5	0.4	0.4
Class 5 (Lower Quality)	0.2	0.2	0.1	0.1	...
Class 6 (In or Near Default)	0.1	0.1	...	...	...
Total Non-Investment Grade	2.1	1.8	1.9	2.4	2.7
Below Investment Grade - % of Capital & Surplus	14.0	13.4	13.8	23.8	25.1

Source: BestLink® - Best's Financial Suite

Years

Bonds and Short Term Investments	0-1	1-5	5-10	10-20	20+	Average (Years)
Distribution by Maturity (%)						
Total Publicly Traded Bonds	1.6	10.2	7.1	13.8	19.2	14.9
Total Privately Placed Bonds	5.4	14.5	12.7	7.9	7.4	9.3
Total Bonds	7.0	24.7	19.9	21.7	26.7	12.2

Source: BestLink® - Best's Financial Suite

Year End -
December 31

Bonds - Distribution by Issuer	2025
U.S. Govt & Municipalities - Issuer Credit Obligations	4.6
All other Issuer Credit Obligations - U.S. - Unaffiliated	62.6
All other Issuer Credit Obligations - Foreign - Unaffiliated	15.3
All other Issuer Credit Obligations - Affiliated	0.2
Asset-Backed Securities - U.S. - Unaffiliated	17.0
Asset-Backed Securities - Foreign - Unaffiliated	0.2

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)**Holding Company Assessment**

Lincoln National Corporation (LNC) is the ultimate parent holding company and it has limited operations outside of its aforementioned insurance subsidiaries. LNC financial leverage has declined in recent years and is at target. Lincoln has been active at refinancing certain debt issuances by prefunding these through other issuances, to remove some interest rate risk. Interest coverage metrics have generally been favorable across the last five years. LNC maintains balance sheet liquidity in excess of its \$450 million target at the holding company, with additional financial flexibility available via a contingent capital P-CAP facility that is undrawn.

Beginning in the fourth quarter 2022, LNC's share buyback program remains paused; however, as excess holding company capital builds, the company is expected to be positioned to increase shareholder returns. AM Best notes that LNL and LLANY will continue to upstream dividend payments to LNC to support the maintenance of its dividend and interest payments.

LNC's GAAP equity, which is consolidated across the group, increased to approximately \$10.9 billion at year-end 2025, after declining materially in 2022 to roughly \$5.1 billion.

Financial Leverage Summary - Holding Company

Financial Leverage Ratio (%)	27.10
Adjusted Financial Leverage Ratio (%)	25.10
Interest Coverage (x)	3.70

Operating Performance

LNC has steadily improved its GAAP operating earnings over the last three years, while its GAAP net income trend has been favorable but more varied due to non-operating items such as the impact of interest rates on the value of liabilities reinsured through a funds withheld account (an embedded derivative). The change in the fair value of the variable annuity Market Risk Benefits (MRBs) under the Long Duration Targeted Improvements (LDTI) to U.S. GAAP due to changes in interest rates and equity prices, also impact GAAP reporting.

The reported statutory earnings of Lincoln Financial Insurance Group have also improved in recent years. In 2025, LNL generated a statutory net loss of about \$455 million compared with \$2.5 billion and \$3.2 billion in 2024 and 2023 respectively. While bottom-line statutory earnings have been negative, Lincoln does not always use hedge accounting for statutory reporting, and losses are offset by gains in other financial statements. For example, gains on derivatives used in hedging the registered index-linked annuity (RILA) business, can flow through unrealized capital gains in the capital and surplus account, which overall results in a neutral impact to available capital. A portion of the change in assets supporting RILA reserves is not included in statutory earnings. In 2025, Lincoln's RILA sales were approximately \$6 billion.

LNC's earnings have historically depended on investment returns, mortality and morbidity insurance claims experience, fees on assets under management, VA rider performance, reserving practices, and premium trends supported by a national and well-recognized brand, a broad product portfolio that serves a wide variety of consumer needs, and leading distribution capabilities and relationships.

Statutory earnings have been volatile over the past two years partly due to RILA accounting, as a portion of the change in assets backing RILAs are excluded from statutory earnings.

Going forward AM Best expects LNL to continue reporting enhanced overall balance sheet strength metrics, and statutory operating earnings that continue to stabilize and improve absent other large in-force block reinsurance transactions.

Lincoln has also focused on controlling its expense base which has contributed to improved operating performance and overall balance sheet metrics.

In several prior years, LNL has been a market leader in individual life first year premium or sales, and in several other of its core product categories, which demonstrates the company's focus on offering products that address the risk protection gaps and retirement needs of its target market. Since the large ULSC reserve charge in 2022, the company has strategically balanced and diversified its focus on traditional mortality and morbidity insurance products, with more investment-oriented products such as a new Funding Agreement Backed Note program it launched on January 2025, continued growth in RILAs and fixed annuities, and company or bank owned life insurance products.

Operating Performance (Continued...)

In 2018, Lincoln acquired Liberty Life Assurance Company of Boston (Liberty Life) from Liberty Mutual Holding Company for \$3.3 billion. The acquisition expanded LNC's Group segment into the larger case market, provided added scale, and enhanced LNC's capabilities in the disability markets. Liberty Life's name was subsequently changed to Lincoln Life Assurance Company of Boston, and in 2021 the company was merged into LNL. LNC has targeted a 7% margin for the Group segment which it has exceeded.

Favorable earnings within Lincoln's annuity business has benefited from strong premium trends and improving investment margins in the current higher interest rate environment.

AM Best will continue to monitor Lincoln's consistency of and improvements to earnings and return metrics on both a statutory and GAAP basis.

Year End - December 31

Net Operating Gain By LOB USD (000)	2025	2024	2023	2022	2021
Individual Life	-222,472	-514,427	-1,093,335	-1,062,933	-421,693
Group Life	30,217	-7,737	24,861	-78,863	-285,994
Individual Annuities	-2,011,699	-3,090,150	-1,956,496	2,790,444	-824,306
Group Annuities	-114,975	-68,829	-24,567	-73,352	-29,986
Accident & Health	284,481	309,075	395,846	158,507	41,178
Other Lines of Business	...	...	...	...	244,716
Total	-2,034,448	-3,372,069	-2,653,691	1,733,803	-1,276,084

Source: BestLink® - Best's Financial Suite

Year End - December 31

Accident & Health Statistics	2025	2024	2023	2022	2021
Net Premiums Written USD (000)	2,703,926	-1,395,114	3,386,373	3,253,246	3,015,980
Net Premiums Earned USD (000)	2,669,040	-1,424,746	3,381,044	3,248,877	3,013,754
Claims and Cost Containment Ratio (%)	59.3	165.2	68.7	78.4	83.8
Expense Ratio (%)	33.7	-58.9	27.2	24.9	25.2
Combined Ratio (%)	92.9	106.3	95.9	103.2	109.0
Underwriting Results USD (000)	-26,905	22,636	137,994	-106,244	-271,146

Source: BestLink® - Best's Financial Suite

Business Profile

Lincoln Financial is the marketing name for the Lincoln National Life Insurance Company (LNL) and its subsidiary Lincoln Life & Annuity Company of New York, which are the lead insurance companies of Lincoln National Corporation (LNC), a publicly traded holding company based out of Radnor, PA. LNC also owns First Penn-Pacific Life Insurance Company, which maintains an in-force block of individual universal and other life insurance and annuities, but does not accept new business.

Lincoln maintains leading market positions in its core product lines, and is well-diversified by product type, source of earnings and distribution channels. Lincoln focuses on wealth accumulation, estate planning and protection products through its Annuity, Life, Retirement Plan Services, and Group Protection segments. The Annuity segment offers a wide array of fixed, indexed, and variable annuities which are consistently ranked in the Top 5 of annuity sales. Lincoln's Life sales are spread across several product types, including individual indexed universal life (IUL), variable universal life (VUL), and hybrid long-term care universal life (MoneyGuard) products. The company also offers term life insurance and executive benefit products, including corporate owned life insurance (COLI), and is generally a Top 3 provider of individual life products. The Retirement Plan Services segment focuses on small to mid-large markets, particularly within the healthcare industry, offering a suite of mutual funds, target date funds, and stable value products. Lincoln's Group segment has an active market presence in the small, regional, and national segments, employing targeted segment-specific strategies to meet the differing market dynamics and consumer expectations across mainly small and regional employers.

In addition to the insurance operations, Lincoln also owns Lincoln Financial Distributors (LFD), which serves as the organization's retail and wholesale distributor. LFD distributes Lincoln's individual life insurance and annuity products, retirement plan products and services, corporate-owned universal life insurance and variable universal life insurance (COLI), and bank-owned universal life insurance and variable universal life insurance (BOLI) products and services. The distribution occurs through financial intermediaries, including

Business Profile (Continued...)

consultants, brokers, planners, agents, financial advisers, third-party administrators (TPAs), and financial institutions. Group Protection distributes its products and services primarily through employee benefit brokers, TPAs and other employee benefit firms. As of December 31, 2025, LFD had over 600 wholesalers, including relationship managers and sales-support professionals. Lincoln sold its wealth management business Lincoln Financial Network (LFN) to Osac in 2024.

Also included in Lincoln's corporate structure had been seven on-shore captives and two off-shore reinsurance company: Lincoln Reinsurance Company of South Carolina (LRCSC), Lincoln Reinsurance Company of Vermont I (LRCVT I), Lincoln Reinsurance Company of Vermont III (LRCVT III), Lincoln Reinsurance Company of Vermont IV (LRCVT IV), Lincoln Reinsurance Company of Vermont V (LRCVT V), Lincoln Reinsurance Company of Vermont VI (LRCVT VI), Lincoln Reinsurance Company of Vermont VII (LRCVT VII), Lincoln National Reinsurance Company of Barbados, Ltd. (LNBAR), and Lincoln Pinehurst Reinsurance Company (Bermuda) Limited (LPine). These entities are utilized to reinsure various risks from LNL and LLANY, particularly related to XXX, AXXX, VA, FIA, and Group Long-Term Disability reserves.

In the fourth quarter of 2025, LNC restructured certain captive reinsurance subsidiaries to reduce operating expenses and improve free cash flow within the Life Insurance segment. This inforce management of Lincoln's individual life insurance backbook, was in line with the group's strategy. On October 1, 2025, LRCVT V, LRCSC, and LRCVT III merged with and into the LRCVT IV as part of restructuring certain captive reinsurance subsidiaries, according to a Master Transaction Agreement. LNC also terminated LOC facility agreements set to expire in 2031 as a result of the restructuring of these captive reinsurance subsidiaries.

2025 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	7,454,706	20.2	765,387	83.2	7,895,243	39.9	324,850	1.8	4.0
Group Life	1,702,922	4.6	7,612	0.8	1,107,500	5.6	603,034	3.3	35.3
Individual Annuities	17,269,180	46.8	159,804	17.4	5,591,232	28.2	11,837,752	65.7	67.9
Group Annuities	6,645,722	18.0	-20,302	-2.2	4,038,117	20.4	2,587,304	14.4	39.1
Accident & Health	3,841,075	10.4	7,223	0.8	1,179,227	6.0	2,669,071	14.8	69.4
Total	36,913,606	100.0	919,724	100.0	19,811,318	100.0	18,022,012	100.0	47.6

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2025	2024	2023	2022	2021
Florida	2,752,714	2,326,623	2,347,081	2,033,987	1,967,787
Texas	2,658,527	2,293,306	2,278,014	2,253,397	2,072,474
California	2,594,429	2,491,258	2,459,793	2,424,825	2,529,764
Pennsylvania	1,825,070	1,684,865	1,503,917	1,455,109	1,424,014
Minnesota	1,590,980	942,577	931,626	901,280	962,687
Top 5 States	11,421,720	9,738,629	9,520,430	9,068,598	8,956,726
All Other	25,448,827	21,791,924	20,625,913	20,408,021	19,061,837
Total	36,870,546	31,530,552	30,146,343	29,476,619	28,018,564
Geographic Concentration Index	0.04	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Lincoln has a comprehensive and integrated risk management framework that enables management to identify and quantify the group's various risks including investment, operating, product, and financial. Risk management is headed by the Enterprise Risk and Capital Committee and is decentralized from the business units to maintain consistent processes and procedures for the identification, measurement, and analysis of risk metrics used across all lines of business. The committee is supported by various sub-groups and committees, including Asset Liability Management, Investments, Market Risk Management, Product Risk, and Operation Risk, all of whom meet regularly to review the organization's risks.

Enterprise Risk Management (Continued...)

Lincoln has quantified its risk appetite and manages to its risk appetite tolerance limits, defining the key performance indicators for which it sets risk tolerances, including GAAP earnings and statutory capital. More specific to its products, Lincoln also conducts detailed analysis to hedge product risks for both in-force and new business generation. For the investment portfolio, Lincoln utilizes various risk tools to help analyze tail risks across its various portfolios through multiple scenario and stress tests. Additionally, the company goes through detailed stress analyses of its surplus looking at various economic scenarios and their impact on capital adequacy and potential liquidity resources. These stress tests incorporate a base case, a severe stress scenario, and a business cycle stress scenario. While stress tests are focused on risk-based capital ratios at the operating level, additional analysis is done at the holding company level to ensure adequate liquidity and targeted financial leverage ratios are maintained along with a projection of discretionary outflows related to shareholder dividends and any share repurchases under the various stress scenarios. The current risk management plan encourages a strong risk culture and governance, ongoing discipline and risk identification, regular cash flow testing, stochastic testing, liquidity and capital stress testing, and regular reporting to the group's senior management and board of directors. A well-balanced product portfolio provides diversification benefits and allows the group to offer a suite of products to meet customer and distributor needs in any macro-economic scenario, which also helps the company manage new business strain.

During 2022, Lincoln's significant unlocking charge related to the lapse assumptions under its guaranteed universal life (GUL) or universal life with secondary guarantee (ULSG) product, as well as a further decline in capital due to equity market volatility, were viewed as a risk management opportunity for the company. AM Best acknowledges that, subsequent to the charge, Lincoln has expanded its hedge program to include the protection of statutory capital due to equity market volatility.

As with several other carriers in the industry, Lincoln has incurred high legal expenses as it challenged universal life cost-of-insurance policy litigation. The carrier settled for \$147.5 million in June 2025.

Reinsurance Summary

Lincoln's maximum corporate retention for its life insurance business is \$20 million per life, which has the potential to cap the cost of very large claims, however most policies have lower face amounts. Lincoln also has traditionally utilized domestic and offshore captive reinsurers for redundant reserve financing of its life insurance and some annuity reserves. The majority of VA guarantees are ceded to affiliate LNBAR, and in 2024 the group began ceding a material amount of in-force Fixed Indexed Annuity and Group Long-Term Disability business to Lincoln Pinehurst Reinsurance Company (Bermuda) Limited (LPine). This followed other material cessions to Fortitude Re in 2023 for Fixed Annuity, MoneyGuard, and ULSG business that mitigated risk for Lincoln. As a result, reinsurer counterparty credit risk analysis during Lincoln's financial planning, monitoring and stress testing processes under the company's ERM framework will gain even more importance. AM Best will monitor Lincoln's periodic credit reviews of their reinsurers, focusing on, among other things, financial capacity, stability, trends and commitment to the reinsurance business. A key risk policy or limit implemented by the company for counterparty risk, is to limit 1-in-2000 counterparty exposure to \$100M assuming default in the case of reinsurance, and with ownership of the risk internally being dependent on the cross exposure.

Environmental, Social & Governance

Governance was a key factor in Lincoln's rating downgrade in 2022. The company's life segment was adversely impacted by changes in the lapse assumptions under the GUL product. Based on an industry study review in which Lincoln participated, it was determined that fewer than previously expected policies would lapse resulting in a significant unlocking charge.

Lincoln's life, annuity, and group protection segments are exposed to changing demographics which can potentially impact mortality and morbidity assumptions. Its Retirement Plan Services segment is not expected to be materially impacted by ESG risks although there is a growing demand for ESG strategies within certain retirement plans.

Lincoln has demonstrated its leadership capabilities in the function of ESG for several years and has been named to the Dow Jones Sustainability Index (DJSI) North America for nine consecutive years. On the environmental front, Lincoln has committed to reducing its energy usage while increasing the environmental focus of its investment portfolios.

Financial Statements

Year End - December 31

	2025		2024	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	8,469,361	2.5	5,110,050	1.6
Bonds	66,394,803	19.8	67,446,262	21.6
Preferred and Common Stock	3,246,926	1.0	3,159,161	1.0
Other Invested Assets	37,802,021	11.3	33,796,816	10.8
Total Cash and Invested Assets	115,913,110	34.6	109,512,288	35.1
Premium Balances	503,025	0.2	464,519	0.1
Net Deferred Tax Asset	867,976	0.3	948,110	0.3
Other Assets	5,021,744	1.5	4,162,210	1.3
Total General Account Assets	122,305,855	36.5	115,087,127	36.9
Separate Account Assets	213,044,183	63.5	196,932,979	63.1
Total Assets	335,350,037	100.0	312,020,106	100.0
Net Life Reserves	51,440,340	15.3	52,504,334	16.8
Net Accident & Health Reserves	1,845,028	0.6	1,826,152	0.6
Liability for Deposit Contracts	4,449,122	1.3	764,288	0.2
Asset Valuation Reserve	2,320,418	0.7	2,179,432	0.7
Other Liabilities	54,249,043	16.2	50,665,327	16.2
Total General Account Liabilities	114,303,950	34.1	107,939,533	34.6
Separate Account Liabilities	213,044,167	63.5	196,932,965	63.1
Total Liabilities	327,348,117	97.6	304,872,499	97.7
Capital Stock	25,000	...	25,000	...
Paid-In and Contributed Surplus	5,712,030	1.7	4,678,634	1.5
Unassigned Surplus	624,225	0.2	736,933	0.2
Other Surplus	1,640,666	0.5	1,707,040	0.5
Total Capital and Surplus	8,001,920	2.4	7,147,607	2.3
Total Liabilities, Capital and Surplus	335,350,037	100.0	312,020,106	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	Year End - December 31	
	2025	2024
Net Premiums Earned:		
Individual Life	324,850	1,892,374
Group Life	603,034	661,403
Individual Annuities	11,837,752	1,655,691
Group Annuities	2,587,304	2,908,375
Accident & Health	2,669,071	-1,424,826
Total Net Premiums Earned	18,022,012	5,693,016
Net Investment Income	3,433,096	3,184,130
Reserve Adjustments on Reinsurance Ceded	1,637,469	77,788
Other Income	3,938,211	2,613,010
Total Revenue	27,030,788	11,567,944
Policy Benefits	30,478,731	14,845,881
Commissions and Expense Allowances	2,605,032	2,368,732
Insurance and Other Expense	4,022,750	3,752,661
Net Transfers to (from) Separate Accounts	-7,567,101	-5,756,304
Dividends to Policyholders	26,996	39,519
Pre-Tax Net Operating Gain	-2,535,619	-3,682,545
Income Taxes Incurred	-501,171	-310,476
Net Operating Gain	-2,034,448	-3,372,069
Net Realized Capital Gains	1,642,762	911,094
Net Income	-391,686	-2,460,975

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2025	2024
Net Premiums Collected	17,218,890	17,299,497
Net Investment Income	3,383,166	3,139,049
Other Income Received	4,165,517	2,675,520
Total Collected Operating Revenue	24,767,573	23,114,066
Net Benefits and Loss Related Payments	29,806,243	29,143,465
Commissions and Other Expenses Paid	7,035,775	4,269,644
Net Transfers to (from) Separate Accounts	-12,723,194	-8,653,259
Dividends to Policyholders	35,067	42,621
Income Taxes Paid (Recovered)	-108,357	-515,065
Total Paid Expenses and Transfers	24,045,533	24,287,406
Net Operating Cash Flow	722,040	-1,173,341

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Evaluating US Surplus Notes, 06/13/2024](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)



BEST'S CREDIT REPORT

AMB #: 069556 - Lincoln Financial Insurance Group

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